



TD SECURITIES (USA) LLC

September 10, 2026

Price: **\$567.50** (09/9/2026)

Price Target: **\$667.00**

BUY (1)

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Key Data

Symbol	NYSE: MA
Market Cap	\$493.4B

QUICK TAKE: COMPANY UPDATE

Beyond the Card: Mastercard's Play for the Wallet Economy

THE TD COWEN INSIGHT

MA announced Wallet Pay, an offering that should strengthen MA's position as an enabling infrastructure behind digital wallets globally. While unlikely to change NT financials, it underscores the company's strategy of monetizing digital wallet growth through tokenization, issuing, acceptance & money movement services mitigating the prospective risk of cannibalized traditional card volumes.

What Happened?

- MA announced [Mastercard Wallet Pay](#), a new umbrella platform aggregating digital wallet-related capabilities into a single proposition to help digital wallet providers launch, scale & monetize more effectively. It's designed primarily for stored-value and staged-value wallets, with emphasis in emerging markets, and leverages Mastercard's global payments acceptance infrastructure.
- MA is positioning Wallet Pay as a way for wallet providers to connect to its network of 150M + merchant locations, 25K FI's & 3.5B payment credentials across 250 countries & territories, while reducing integration complexity through APIs, SDKs, & modular capabilities.
- It bundles existing MA assets, including: account tokenization to enable tap-to-pay & ecomm acceptance; Mastercard Move for Wallets for domestic & x-border money movement; Issuing for Wallets to enable physical/virtual card issuance tied to wallet balances; Acceptance for Wallets to broaden merchant acceptance; and Wallet Services to support secure wallet provisioning, etc.

Our Take

- This is strategically important to reinforce MA's role as an infra layer for an expanding digital wallet ecosystem. MA is packaging broad existing capabilities in a coherent GTM offering that seeks to embed itself deeper into wallet ecosystems. Even if the underlying funding source is a stored wallet balance, Wallet Pay would enable MA to remain the interoperability & acceptance layer.
- It aims to ensure that growth of digital wallets remains network-accretive vs. network-disruptive. As digital wallets proliferate globally, MA is offering providers a path to add merchant acceptance, x-border payments, issuing & money movement without building independent payment rails/acceptance. It aims to keep wallet txns attached to MA credentials, tokenization services & acceptance infra.
- The release suggests MA is largely enabling wallet balances to become Mastercard-network-compatible credentials via tokenization (major growth vector). We expect it may enable a combo of processing fees + monetization via tokenization & wallet enablement fees, issuer processing/managed services, x-border money movement fees, fraud/risk/acceptance services, etc.
- X-border opportunity appears central, with Mastercard Move helping wallets participate in remittance & int'l payment flows. There's a clear focus on emerging-market wallet growth, where closed-loop wallets increasingly seek broader merchant acceptance and interoperability. Initial partners include: AlipayHK, Clip, GCash, KakaoPay, TNG eWallet and TrueMoney — together with Axian, CRED, DaviPlata, Mercado Pago, MTN and TenPay Global.

VALUATION METHODOLOGY AND RISKS

Valuation Methodology

Financial Technology:

Our valuation methodology primarily used across our Payments universe is P/E, with EV/EBITDA and FCF as secondary metrics. P/E is relevant from the perspective of capturing the benefit accruing to equity shareholders from share repurchases – a key component of the capital allocation plans favored by most companies in the Payments space. Additionally, tax rates vary dramatically across the space and are a key part of the investment story for select stocks. Lastly, as the definition of cash EPS continues to evolve – we generally arrive at our valuations by focusing on Cash EPS, expensing stock compensation.

We make investment recommendations on certain early stage, pre-revenue companies based upon an assessment of their business model, technology, probability of market success, and the potential market opportunity, balanced by an assessment of applicable risks. Such companies may not be assigned a price target.

Investment Risks

Financial Technology:

The Payments industry is very competitive with both existing and emerging competition. All of our companies face the risk of being unable to capture market share or having their business models become commoditized by newer entrants in the market. Additionally, our companies are levered to consumer spending and therefore are exposed to general economic conditions.

Risks To The Price Target

Risks to our price target and estimates include changes in the regulatory environment, given MA's size, and nationalism, as governments around the world could endorse policies to the advantage of their domestic payment schemes. Other risks include new payment methods such as BNPL, A2A. We also highlight macro risk from a downturn in consumer spending in the US or larger emerging market that MA has outsized exposure to. Finally, we highlight technological risk from potential disruption by emerging technologies and cybersecurity risk potential breaches.

ADDENDUM

Stocks Mentioned In Important Disclosures

Ticker	Company Name
MA	Mastercard

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Buy (1): The stock is expected to achieve total return of +15% or more over the next 12 months

Hold (2): The stock is expected to achieve a total return that falls between -10% to +15% over the next 12 months

Sell (3): The stock is expected to achieve a total return of -10% or below over the next 12 months

Suspended (4): Due to evolving circumstances and potential conflicts of interest, we can no longer generate what we consider a defensible rating at the current time

Assumption: The expected total return calculation includes annual return and forecasted dividend yield

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Distribution of Ratings/Investment Banking Services (IB) as of 06/30/26

Rating	Count	Ratings Distribution	Count	IB Services/Past 12 Months
Buy	868	66.92%	348	40.09%
Hold	416	32.07%	130	31.25%
Sell	13	1.00%	4	30.77%

TD Cowen Equity Research Rating Distribution Table does not include any subject company for which the equity research rating is currently suspended.

Mastercard Rating History as of 09/09/2026

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Legend for Price Chart:

I = Initiation | 1 = Buy | 2 = Hold | 3 = Sell | 4 = Suspended | UR = Price Target Under Review | D = Discontinued Coverage | \$xx = Price Target | NA = Not Available

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